

persist in short-term memory than previous, “older” items that have been discarded.

The technical description of recency bias refers to the errors people make when the recency effect prejudices their recollections. Recency bias privileges information recently retained and neglects events and observations not as fresh in the mind.

PRACTICAL APPLICATION

One of the most obvious and most pernicious manifestations of recency bias among investors pertains to their misuse of investment performance records for mutual funds and other types of funds. Investors track managers who produce temporary outsized returns during a one-, two-, or three-year period and then make investment decisions based only on such recent experiences. These investors do not pay heed to the cyclical nature of asset class returns, and so, for them, funds that have performed spectacularly in the very recent past appear unduly attractive. To counteract the effects of this bias, many practitioners wisely use what has become known as the “periodic table of investment returns,” an adaptation of scientists’ periodic table of chemical elements (see Table 16.1).

As the periodic table of investment returns in Table 16.1 demonstrates, asset class returns are highly variable. Many investors fail to heed the advice offered by the chart—namely, that it is nearly impossible to accurately predict which asset class will be the best performer from one year to the next. Thus, diversification is prudent (note how the diversified portfolio consistently appears near the center of each column). Practitioners would be wise to present this chart when establishing asset allocations with new clients to emphasize the advantages of diversification over return chasing.

Implications for Investors

As many wealth managers know, recency bias ran rampant during the bull market period between 2004 and 2007. Many investors implicitly presumed, as they have during other cyclical peaks, that the market would continue its enormous gains forever. They all but forgot the fact that bear markets can and do occur. Investors, who based decisions on their own subjective short-term memories, hoped that near-term history would continue to repeat itself. Intuitively, they insisted that evidence gathered from recent experience narrowed the range of potential outcomes and thus enabled them to project future returns. All too often, this behavior creates misguided confidence and becomes a catalyst for error.